Registration number: 00526923

Howden Joinery Limited

Annual Report and Financial Statements

for the Period from 31 December 2023 to 28 December 2024

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Howden Joinery Limited

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Howden Joinery Limited

Strategic Report for the Period from 31 December 2023 to 28 December 2024

The directors present their strategic report for the period from 31 December 2023 to 28 December 2024.

The Company's principal activity is described in the Directors' Report, which is located immediately below this Strategic Report. The Company's financial Key Performance Indicators are as shown in the Profit and Loss Account and Balance Sheet. We do not consider there to be any non-financial Key Performance Indicators relevant to the Company, other than those listed in the Group annual report, as detailed in the paragraph immediately below.

The Group manages its operations on a Group basis and therefore prepares a consolidated group annual report and accounts, including a consolidated strategic report. Pursuant to Section 414(A) (4) of the Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013, which provides that a group strategic report may give greater emphasis to the matters that are significant to the undertakings included in the consolidation when taken as a whole, the following information in relation to the Company can be found in the Group annual report on the pages listed:

- Fair review of the business (pgs 2 - 35)
- Description of the principal risks and uncertainties facing the Group and its subsidiary undertakings (pgs 36 - 41)
- Financial and non-financial KPIs (pgs 28 - 29)
- Future developments (pgs 18, 24, 34)
- Information about environmental matters, social, community and human rights issues (pgs 42-68)
- Description of culture, purpose, market, business model and strategy (pgs 8-15)
- Information in relation to Group employees, including gender statistics, employee involvement and Group policy on the employment of disabled persons (pgs 88 - 90, 103 - 107, 154 - 155)

This report is available as part of the Group's Annual Report which is available at http://www.howdenjoinerygroupplc.com/ and which does not form part of this report.

Howden Joinery Limited

Strategic Report for the Period from 31 December 2023 to 28 December 2024

Section 172 statement

Section 172 of the Companies Act 2006 requires a director of a company to act in the way he or she considers, in good faith, would most likely promote the success of the company for the benefit of its members as a whole. In doing this section 172 requires a director to have regard, amongst other matters, to the:

- likely consequences of any decisions in the long-term;
- interests of the company's employees;
- need to foster the company's business relationships with suppliers, customers and others;
- impact of the company's operations on the community and environment;
- desirability of the company maintaining a reputation for high standards of business conduct, and
- need to act fairly as between members of the company.

In discharging their section 172 duties the directors of the Company have regard to the factors set out above. They also have regard to other factors which they consider relevant to the decision being made. The directors acknowledge that every decision they make will not necessarily result in a positive outcome for all of the Company's stakeholders. By considering the Company's purpose, vision and values together with its strategic priorities and having a process in place for decision-making, the directors do, however, aim to make sure that their decisions are consistent and predictable.

As is normal for large companies, the directors delegate authority for day-to-day management of the Company to executives engaged in setting, approving and overseeing execution of the business strategy and related policies of the Group. How the Group's key stakeholders have been identified and interests taken into consideration, in accordance with the directors' section 172 duties of the Companies Act 2006 and the 2018 UK Corporate Governance Code, is noted in detail in Howden Joinery Group Plc's Annual Report and Accounts for the year ended 28 December 2024 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). As the Company forms part of the Group, the framework adopted by the ultimate parent has been disseminated and applied by the subsidiary Company.

The directors have considered the decisions made by the ultimate parent company in the Group during the year and are satisfied that these decisions were in the best interests of the Company.

Approved by the Board on 22 August 2025 and signed on its behalf by:

.....
Jackie Callaway
Director

Howden Joinery Limited

Directors' Report for the Period from 31 December 2023 to 28 December 2024

The directors present their annual report and the audited financial statements for the period from 31 December 2023 to 28 December 2024.

Directors' of the Company
The directors, who held office during the period, were as follows:

William Andrew Livingston

Andrew Witts (ceased 13 June 2025)

David Sturdee (ceased 7 January 2025)

George Julian Lee

Paul Hayes (ceased 1 June 2025)

Richard Sutcliffe

Theresa Keating (ceased 28 March 2025)

Edward Guy Eccles (appointed 12 February 2024)

Stuart Livingstone (ceased 9 August 2024)

The following directors were appointed after the period end:

Austin Cooke (appointed 24 March 2025)

Jackie Callaway (appointed 2 June 2025)

Principal activity
The Company designs, and either sources or manufactures, kitchens and joinery products, and then sells these products to the building trade, predominantly small local builders, via a nationwide network of depots.

Dividends
A dividend of £192.0m was proposed and paid during the current period (prior period: a dividend of £200.0m was proposed and paid).

Howden Joinery Limited

Directors' Report for the Period from 31 December 2023 to 28 December 2024

Corporate governance
Howden Joinery Limited is a subsidiary Company of Howden Joinery Group Plc, a company listed on the London Stock Exchange. The corporate governance report for Howden Joinery Group Plc in respect of the financial year ended 28 December 2024 can be accessed at www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports. This report sets out in detail how the Board of Howden Joinery Group Plc have applied the Principles and Provisions of the 2018 UK Corporate Governance Code or, where they have not applied a Principle or Provision, an explanation has been provided.

Howden Joinery Limited is the sole UK trading company in the Howden Joinery Group and in 2024 accounted for 98% of Group revenue. As outlined above, the corporate governance arrangements at Group level have been clearly identified and disclosed. Given the Company forms part of the Group, the directors acknowledge that the corporate governance arrangements in respect of Howden Joinery Group Plc are relevant to the Company and have been cascaded where appropriate.

All members of the Howden Joinery Group Plc Executive Committee, which has delegated authority for all day-to-day operational matters for the Group (other than those contained in the Schedule of Matters Reserved for the Board) are directors of Howden Joinery Limited. This means that they share the same statutory directors' duties as the directors of Howden Joinery Group Plc.

The directors have assessed whether a subsidiary corporate governance code or the adoption of the Wates Corporate Governance Principles For Large Private Companies would enhance the existing corporate governance framework for the Company and they have concluded that it would not. As such, for the year ended 28 December 2024, under the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008, the Company did not apply a formal corporate governance code.

Going concern
After making enquiries and taking into consideration the profitability and financial position of the Company, the directors have formed a judgement, at the time of approving the financial statements, that there is a reasonable expectation that the Company has adequate resources to continue in operational existence for a period of at least 12 months after the date of approval of these financial statements.

The directors continue to adopt the going concern basis in preparing the financial statements.

Disclosure of information to the auditors
Each Director has taken steps that they ought to have taken as a Director in order to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information. The Directors confirm that there is no relevant information that they know of and of which they know the auditor is unaware.

Engagement with suppliers, customers and other relationships
The Company has limited direct dealings with external business partners as these activities are undertaken at Group level. Details of the Howden Joinery Group's business relationships at Group level are set out in the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 28 December 2024 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports).

Howden Joinery Limited

Directors' Report for the Period from 31 December 2023 to 28 December 2024

Engagement with employees

The Company has limited direct engagement with its employees as these activities are undertaken at Group level. Details of the Howden Joinery Group's employee engagement are set out in the Annual Report and Accounts for Howden Joinery Group Plc for the year ended 28 December 2024 (www.howdenjoinerygroupplc.com/investors/financial-reports/annual-reports). This includes the information relating to paragraphs 11, 11A, 11B and 11C, Part 4, Schedule 7 of the Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008 in respect of the Company.

Approved by the Board on 22 August 2025 and signed on its behalf by:

.....
Jackie Callaway
Director

Howden Joinery Limited

Statement of Directors' Responsibilities

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law), including FRS 101 'Reduced Disclosure Framework'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements; and
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Howden Joinery Limited

Independent Auditor's Report to the Members of Howden Joinery Limited

Opinion

We have audited the financial statements of Howden Joinery Limited (the 'Company') for the period ended 28 December 2024, which comprise the Income Statement, Statement of Comprehensive Income, Statement of Financial Position, Statement of Changes in Equity, and related notes, including the accounting policies in note 2.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 28 December 2024 and of its profit for the period then ended;
- have been properly prepared in accordance with UK Accounting Standards, including Financial Reporting Standard 101 "Reduced Disclosure Framework"; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with UK ethical requirements including the FRC Ethical Standard as applied to other entities of public interest. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

We used our knowledge of the Company, its industry, and the general economic environment to identify the inherent risks to its business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period. The risk that we considered most likely to adversely affect the Group's and Company's available financial resources over this period was:

• Customer confidence in light of the current cost of living challenges, and the possibility of this negatively impacting the Company's sales.

We considered whether these risks could plausibly affect the liquidity in the going concern period by assessing the degree of downside assumptions that individually and collectively, could result in a liquidity issue, taking into account the Company's current and projected cash and facilities (a reverse stress test).

We assessed the completeness of the going concern disclosure in note 2 to the financial statements.

Our conclusions based on this work:

· we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;

· we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period; and

· we found the going concern disclosure in note 2 to be acceptable.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud.

Our risk assessment procedures included enquiring of directors and inspection of policy documentation as to Howden Joinery Group Plc's policies and procedures to prevent and detect fraud that apply to this group company as well as enquiring whether the directors have knowledge of any actual, suspected or alleged fraud.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet profit targets and market expectations, we perform procedures to address the risk of management override of controls, in particular the risk that management may be in a position to make inappropriate accounting entries and the risk of bias in accounting estimates such as the inventory obsolescence provision. On this audit we do not believe there is a fraud risk related to revenue recognition because of the nature, lack of complexity and limited opportunity and ability of management to manipulate the results to a material degree despite the potential for incentive to do so.

We identified a fraud risk related to the inventory obsolescence provision in response to possible pressures to meet profit targets or market expectations and the opportunities for bias in the subjective estimate.

We also performed procedures including:

· Identifying journal entries and other adjustments to test based on risk criteria and comparing the identified entries to supporting documentation. These included those posted by users outside of their expected business area and those posted to unusual accounts.

· Assessing whether the judgements made in making accounting estimates are indicative of a potential bias.

Identifying and responding to risks of material misstatement related to compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors (as required by auditing standards), and discussed with the directors the policies and procedures regarding compliance with laws and regulations.

The Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation, and taxation legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Whilst the Company is subject to many other laws and regulations, we did not identify any others where the consequences of non-compliance alone could have a material effect on amounts or disclosures in the financial statements

Context of the ability of the audit to detect fraud or breaches of law or regulation.

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

• we have not identified material misstatements in the strategic report and the directors' report;

• in our opinion the information given in those reports for the financial year is consistent with the financial statements; and

• in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Independent Auditor's Report to the Members of Howden Joinery Limited

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in the Statement of Directors' Responsibilities, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

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Zulfikar Walji (Senior Statutory Auditor)
For and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
15 Canada Square
London
E14 5GL
United Kingdom

22 August 2025

Howden Joinery Limited

Income Statement for the Period from 31 December 2023 to 28 December 2024

	Note	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Turnover	4	2,271,297	2,264,615
Cost of sales		(923,864)	(954,120)
Gross profit		1,347,433	1,310,495
Administrative expenses		(1,010,737)	(923,807)
Operating profit	6	336,696	386,688
Interest receivable and similar income	7	9,774	2,736
Interest payable and similar expenses	7	(2,558)	(1,720)
		7,216	1,016
Profit before tax		343,912	387,704
Tax on profit	11	(82,647)	(73,990)
Profit for the period		261,265	313,714

The above results were derived from continuing operations.

The notes on pages 16 to 38 form an integral part of these financial statements.

Howden Joinery Limited

Statement of Comprehensive Income for the Period from 31 December 2023 to 28 December 2024

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Profit for the period	261,265	313,714
Total comprehensive income for the period	261,265	313,714

Howden Joinery Limited

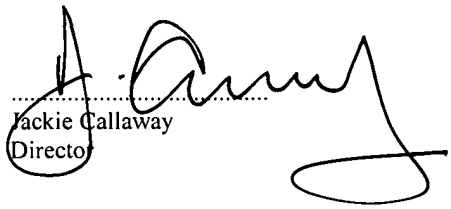
(Registration number: 00526923)
Statement of Financial Position as at 28 December 2024

	Note	28 December 2024 £ 000	30 December 2023 £ 000
Fixed assets			
Intangible assets	14	45,495	31,086
Tangible assets	13	344,135	304,371
Right of use assets	12	54,030	59,341
		443,660	394,798
Current assets			
Stocks	16	375,326	364,411
Debtors	17	252,664	194,484
Cash at bank and in hand	19	328,092	264,355
Deferred tax asset	11	3,790	7,017
Income tax asset		21,816	-
		981,688	830,267
Creditors: Amounts falling due within one year			
Trade and other payables	23	(785,756)	(675,495)
Income tax liability		-	(7,210)
Current portion of long term lease liabilities	26	(18,500)	(18,814)
Provisions	22	(6,445)	(6,488)
		(810,701)	(708,007)
Net current assets		170,987	122,260
Total assets less current liabilities		614,647	517,058
Creditors: Amounts falling due after more than one year			
Long term lease liabilities	26	(37,986)	(41,954)
Deferred tax liability		(25,137)	-
		(63,123)	(41,954)
Provisions	22	(5,339)	(5,305)
Net assets		546,185	469,799
Capital and reserves			
Called up share capital	18	100,000	100,000
Share-based payments		54,132	48,403
Retained earnings		392,053	321,396
Shareholders' funds		546,185	469,799

Howden Joinery Limited

(Registration number: 00526923)
Statement of Financial Position as at 28 December 2024

Approved by the Board on 22 August 2025 and signed on its behalf by:



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Jackie Callaway
Director

Howden Joinery Limited

Statement of Changes in Equity for the Period from 31 December 2023 to 28 December 2024

	Share capital £ 000	Share-based payments £ 000	Retained earnings £ 000	Total £ 000
At 31 December 2023	100,000	48,403	321,396	469,799
Profit for the period	-	-	261,265	261,265
Total comprehensive income	-	-	261,265	261,265
Dividends	-	-	(192,000)	(192,000)
Transfer between reserves	-	(1,106)	1,106	-
Current tax on share schemes	-	-	227	227
Deferred tax on share schemes	-	-	59	59
Share based payment transactions	-	6,835	-	6,835
At 28 December 2024	100,000	54,132	392,053	546,185

	Share capital £ 000	Share-based payments £ 000	Retained earnings £ 000	Total £ 000
At 25 December 2022	100,000	44,366	207,514	351,880
Total comprehensive income	-	-	313,714	313,714
Dividends	-	-	(200,000)	(200,000)
Current tax on share schemes	-	-	151	151
Deferred tax on share schemes	-	-	17	17
Share based payment transactions	-	4,037	-	4,037
At 30 December 2023	100,000	48,403	321,396	469,799

1 General information

The company is a private company limited by share capital, incorporated and domiciled in England.

The address of its registered office is:
105 Wigmore Street
London
W1U 1QY
England

These financial statements were authorised for issue by the Board on 22 August 2025.

2 Accounting policies

Summary of significant accounting policies and key accounting estimates
The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

Basis of preparation
These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework. They are prepared on the historical cost basis.

Summary of disclosure exemptions
In these financial statements, the company has taken advantage of the disclosure exemptions available under FRS 101 in relation to share-based payment, financial instruments, fair value measurements, capital management, revenue from contracts with customers, presentation of comparative period reconciliations for share capital, tangible fixed assets and intangible assets, presentation of a cash-flow statement, the effects of new standards not yet effective, impairment of assets and disclosures in respect of the compensation of key management personnel and of transactions with a management entity that provides key management personnel services to the company.

Going concern
The financial statements have been prepared on a going concern basis. No material uncertainties were identified. Further information about the process and basis of the going concern assessment can be found in the "Going concern" section of the Directors' Report which details how the going concern assessment relates to continued support from the ultimate parent company and how the Directors have assessed the quality and commitment of that support.

Exemption from preparing group accounts
The financial statements contain information about Howden Joinery Limited as an individual company and do not contain consolidated financial information as the parent of a group.
The company is exempt under section 400 of the Companies Act 2006 from the requirement to prepare consolidated financial statements as it and its subsidiary undertakings are included by full consolidation in the consolidated financial statements of its ultimate parent, Howden Joinery Group Plc, a company incorporated in England.

2 Accounting policies (continued)

Changes in accounting policy
None of the standards, interpretations and amendments effective for the first time from 31 December 2023 have had a material effect on the financial statements.

Revenue recognition

Recognition

The Company earns revenue from the sale of kitchens and joinery products to the building trade. This revenue is recognised in the accounting period when control of the product has been transferred, at an amount that reflects the consideration to which the entity expects to be entitled in exchange for fulfilling its performance obligations to customers.

The principles in IFRS are applied to revenue recognition criteria using the following 5 step model:

1. Identify the contracts with the customer
2. Identify the performance obligations in the contract
3. Determine the transaction price
4. Allocate the transaction price to the performance obligations in the contract
5. Recognise revenue when or as the entity satisfies its performance obligations

Revenue is measured at the fair value of the consideration received or receivable for goods and services provided to customers outside the Company, excluding sales taxes and discounts. Revenue is recognised on despatch.

Dividends receivable
Dividend income from subsidiary companies is recognised when receivable.

Finance income and costs policy
Interest income is recognised in the income statement as it accrues, using the effective interest method.

Foreign currency transactions and balances
Transactions in foreign currencies are initially recorded at the functional currency rate prevailing at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are retranslated into the respective functional currency of the entity at the rates prevailing on the reporting period date. Non-monetary items carried at fair value that are denominated in foreign currencies are retranslated at the rates prevailing on the initial transaction dates.

Non-monetary items measured in terms of historical cost in a foreign currency are not retranslated.

Tax
Tax is recognised in profit or loss, except that a change attributable to an item of income or expense recognised as other comprehensive income or in equity is also recognised directly in other comprehensive income or equity.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the company operates and generates taxable income.

2 Accounting policies (continued)

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements and on unused tax losses or tax credits in the company. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

The carrying amount of deferred tax assets are reviewed at each reporting date and a valuation allowance is set up against deferred tax assets so that the net carrying amount equals the highest amount that is more likely than not to be recovered based on current or future taxable profit.

Property, plant and equipment
Property, plant and equipment is stated in the statement of financial position at cost, less any subsequent accumulated depreciation and subsequent accumulated impairment losses.

The cost of property, plant and equipment includes directly attributable incremental costs incurred in their acquisition and installation.

Depreciation
Depreciation is charged so as to write off the cost of assets, other than assets under construction - which are not depreciated - over their estimated useful lives, as follows:

Asset class	Depreciation method and rate
Plant, machinery and vehicles	3 - 20 years
Leasehold property	the period of the lease, or the individual asset's life if shorter
Fixtures and fittings	2 - 15 years

Intangible assets
Our intangible assets represent computer software. Where computer software is not an integral part of a related item of computer hardware, the software is classified as an intangible asset. The capitalised costs of software for internal use include external direct costs of materials and services consumed in developing or obtaining the software and payroll and payroll-related costs for employees who are directly associated with and who devote substantial time to the project. Capitalisation of these costs ceases no later than the point at which the software is substantially complete and ready for its intended internal use.

These costs are amortised over their expected useful lives, which are reviewed annually. The expected useful lives range between three and seven years, depending on the nature of the software.

When the Group incurs configuration and customisation costs as part of a cloud-based software-as-a-service agreement, and where this does not result in the creation of an asset which the Group has control over, then these costs are expensed.

Investments
Investments in subsidiaries are stated at cost less, where appropriate, provisions for impairment.

Cash and cash equivalents
Cash and cash equivalents comprise cash on hand and call deposits, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of changes in value.

2 Accounting policies (continued)

Trade receivables
Trade receivables do not contain a significant financing component and are stated at their nominal value, reduced by an allowance for expected credit losses. This approximates to their fair value. The Company uses the IFRS 9 simplified approach to measuring expected credit losses. This uses a lifetime expected loss allowance for all trade receivables. To measure the expected credit losses trade receivables have been grouped based on shared credit risk characteristics and the days past due.

To determine expected credit losses, the Group uses historical observed default rates for these different groups of receivables, adjusted for forward-looking estimates. The default rates and forward-looking estimates are revised at each reporting date.

Amounts payable and receivable to and from fellow Group subsidiaries

Howden Joinery Group plc has ultimate control of 100% of both this Company and a number of other wholly-owned subsidiaries (together, called "the Howden Joinery Group"). Debtors and creditors between this Company, Howden Joinery Group plc and any other Howden Joinery Group company do not bear interest and are repayable on demand.

Inventories
Inventories are stated at the lower of cost and net realisable value. Cost is determined using the weighted average method.

The cost of finished goods and work in progress comprises direct materials and, where applicable, direct labour costs and those overheads that have been incurred in bringing the inventories to their present location and condition. At each reporting date, inventories are assessed for impairment. If inventory is impaired, the carrying amount is reduced to its selling price less costs to complete and sell; the impairment loss is recognised immediately in profit or loss.

Trade payables
Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities.

Trade payables are recognised initially at the transaction price and subsequently measured at amortised cost using the effective interest method.

Provisions
Provisions are recognised when the company has a present obligation (legal or constructive) as a result of a past event, it is probable that the group will be required to settle that obligation and a reliable estimate can be made of the amount of the obligation.

Provisions are measured at the directors' best estimate of the expenditure required to settle the obligation at the reporting date and are discounted to present value where the effect is material.

2 Accounting policies (continued)

Share based payments
The company operates an equity-settled, share-based compensation plan, under which the entity receives services from employees as consideration for equity instruments (options) of the entity. The fair value of the employee services received is measured by reference to the estimated fair value at the grant date of equity instruments granted and is recognised as an expense over the vesting period. The estimated fair value of the option granted is calculated using a binomial option pricing model. The total amount expensed is recognised over the vesting period, which is the period over which all of the specified vesting conditions are to be satisfied.

The proceeds received net of any directly attributable transaction costs are credited to share capital (nominal value) and share premium when the options are exercised.

Dividends payable
Dividend distribution to the company's shareholders is recognised as a liability in the company's financial statements in the period in which the dividends are approved by the company's shareholders.

Financial instruments
Financial assets and financial liabilities comprise all assets and liabilities reflected in the balance sheet, although excluding Tangible assets, investment properties, intangible assets, deferred tax assets, prepayments, deferred tax liabilities and employee benefits plan.

The company recognises financial assets and financial liabilities in the statement of financial position when, and only when, the company becomes party to the contractual provisions of the financial instrument.

Financial assets and liabilities are initially recognised at fair value and subsequently measured at amortised cost.

Impairment of financial assets
For trade receivables, the company applies the simplified approach, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

To measure the expected credit losses, trade receivables have been grouped based on shared credit risk characteristics and the days past due.The company has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates.

Defined contribution pension obligation
A defined contribution plan is a pension plan under which fixed contributions are paid into a separate entity and has no legal or constructive obligations to pay further contributions if the fund does not hold sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods.

For defined contribution plans contributions are paid publicly or privately administered pension insurance plans on a mandatory or contractual basis. The contributions are recognised as employee benefit expense when they are due. If contribution payments exceed the contribution due for service, the excess is recognised as an asset.

2 Accounting policies (continued)

Leases

Definition

A lease is a contract, or a part of a contract, that conveys the right to use an asset or a physically distinct part of an asset ("the underlying asset") for a period of time in exchange for consideration. Further, the contract must convey the right to the company to control the asset or a physically distinct portion thereof. A contract is deemed to convey the right to control the underlying asset if, throughout the period of use, the company has the right to:

· Obtain substantially all the economic benefits from the use of the underlying asset, and;
· Direct the use of the underlying asset (e.g. direct how and for what purpose the asset is used)

Initial recognition and measurement

The company initially recognises a lease liability for the obligation to make lease payments and a right-of-use asset for the right to use the underlying asset for the lease term.
The lease liability is measured at the present value of the lease payments to be made over the lease term. The lease payments include fixed payments, purchase options at exercise price (where payment is reasonably certain), expected amount of residual value guarantees, termination option penalties (where payment is considered reasonably certain) and variable lease payments.
The right-of-use asset is initially measured at the amount of the lease liability, adjusted for lease prepayments, lease incentives received, the company's initial direct costs (e.g., commissions) and an estimate of restoration, removal and dismantling costs.

Subsequent measurement

After the commencement date, the company measures the lease liability by:
(a) Increasing the carrying amount to reflect interest on the lease liability;
(b) Reducing the carrying amount to reflect the lease payments made; and
(c) Re-measuring the carrying amount to reflect any reassessment or lease modifications or to reflect revised in substance fixed lease payments or on the occurrence of other specific events.
Interest on the lease liability in each period during the lease term is the amount that produces a constant periodic rate of interest on the remaining balance of the lease liability. Interest charges are [presented separately as non-operating /included in finance cost] in the income statement, unless the costs are included in the carrying amount of another asset applying other applicable standards. Variable lease payments not included in the measurement of the lease liability, are included in operating expenses in the period in which the event or condition that triggers them arises.
The related right-of-use asset is accounted for using the Cost model in IAS 16 and depreciated and charged in accordance with the depreciation requirements of IAS 16 Property, Plant and Equipment as disclosed in the accounting policy for Property, Plant and Equipment. Adjustments are made to the carrying value of the right of use asset where the lease liability is re-measured in accordance with the above. Right of use assets are tested for impairment in accordance with IAS 36 Impairment of assets as disclosed in the accounting policy in impairment.

2 Accounting policies (continued)

Lease modifications

If a lease is modified, the modified contract is evaluated to determine whether it is or contains a lease. If a lease continues to exist, the lease modification will result in either a separate lease or a change in the accounting for the existing lease.
The modification is accounted for as a separate lease if both:
(a) The modification increases the scope of the lease by adding the right to use one or more underlying assets; and
(b) The consideration for the lease increases by an amount commensurate with the stand-alone price for the increase in scope and any appropriate adjustments to that stand-alone price to reflect the circumstances of the particular contract.
If both of these conditions are met, the lease modification results in two separate leases, the unmodified original lease and a separate lease. The company then accounts for these in line with the accounting policy for new leases.
If either of the conditions are not met, the modified lease is not accounted for as a separate lease and the consideration is allocated to the contract and the lease liability is re-measured using the lease term of the modified lease and the discount rate as determined at the effective date of the modification.
For a modification that fully or partially decreases the scope of the lease (e.g., reduces the square footage of leased space), IFRS 16 requires a lessee to decrease the carrying amount of the right-of-use asset to reflect partial or full termination of the lease. Any difference between those adjustments is recognised in profit or loss at the effective date of the modification.
For all other lease modifications which are not accounted for as a separate lease, IFRS 16 requires the lessee to recognise the amount of the re-measurement of the lease liability as an adjustment to the corresponding right-of-use asset without affecting profit or loss.

Short term and low value leases

The company has made an accounting policy election, by class of underlying asset, not to recognise lease assets and lease liabilities for leases with a lease term of 12 months or less (i.e., short-term leases).
Lease payments on short term leases are accounted for on a straight line bases over the term of the lease or other systematic basis if considered more appropriate. Short term lease payments are included in operating expenses in the income statements.
The company recognises low value leases as leases.

3 Significant accounting judgements and major sources of estimation uncertainty

The Company makes some judgements when applying its accounting policies which can have a significant effect on the amounts recognised in these financial statements. The Company also makes assumptions concerning the future and other major sources of estimation uncertainty that can result in a material adjustment to the carrying amounts of assets and liabilities within the next financial period. We discuss these below.

3 Significant accounting judgements and major sources of estimation uncertainty (continued)

Allowances against the carrying value of inventories

In order to achieve the accounting policy objective that inventories are stated at the lower of cost and net realisable value, the Company carries an allowance against products which it estimates may not sell at a price above cost, or where we may be holding levels of product in excess of estimated future demand. The Company bases these estimates on a regular review of product lifecycles and selling prices achieved in the market, and in particular on historical sales profiles of products after they have been discontinued. These estimates are updated based on actual experience, but the accuracy of the estimates at any point in time can be affected by the extent to which current products may not follow historical patterns.

Both the gross inventory balance and the amount of the allowance against their carrying value are material items and we would expect this to remain the case as the Company grows in size, and as consumer demand for regular introductions of new product continues. Details of inventories and of the allowances against their carrying amount for the current and prior period end are shown in the inventory note.

We derive our allowance against carrying value based on specific kitchen ranges and stock items where a decision has been made to discontinue future sales or where our monitoring of current sales indicates that the rate of sales is in decline and the product may be coming to the end of its life cycle. The level of judgement and estimation involved requires assessing the obsolescence risk across a high volume of SKUs, which can have different risk profiles. As such, the allowance is specific in nature and does not lend itself to meaningful sensitivity analysis in the same way as a figure which is derived by a general formula. The potential range of reasonable outcomes could be material. In the analysis of the allowance below, we have separately identified the aggregate gross value of stock against which an allowance has been made.

Once a decision is made to discontinue future sales of a product, it will still be available for sale in depots for a standard period of time, after which any remaining units of that product will be removed from sale. Our stock allowance is calculated so that the carrying value of any unsold units is progressively written down to nil over the period during which they are available for sale. The rate at which the units are written down to nil is based on actual historical experience of realised selling prices for previous similar products, and recognises that higher selling prices are typically achievable at the beginning of the period than at the end of the period. Rates are reviewed regularly against historical experience and are adjusted if necessary.

4 Turnover

The analysis of the Company's turnover for the period from continuing operations is as follows:

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Sale of goods	2,271,297	2,264,615

5 Other gains and losses

The analysis of the company's other gains and losses for the period is as follows:

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Gain (loss) on disposal of tangible assets	(134)	(93)

6 Operating profit

Arrived at after charging/(crediting)

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Impairment loss/(reversal) on amounts receivable from fellow group companies	23,878	(10,406)
Write-down of inventory to net realisable value	1,653	(1,855)
Expense on short term leases (over one month)	3,922	5,475

7 Finance income and costs

	52 weeks to 28 December 2024 £ 000	53 weeks to 2023 30 December £ 000
Finance income		
Interest income on bank deposits	9,774	2,736
Finance costs		
Interest on bank overdrafts and borrowings	(13)	(2)
Interest expense on leases - Machinery	(2,369)	(1,518)
Interest expense on leases - Property	(176)	(200)
Total finance costs	(2,558)	(1,720)
Net finance income	7,216	1,016

8 Staff costs

The aggregate payroll costs (including directors' remuneration) were as follows:

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Wages and salaries	542,564	516,475
Social security costs	50,770	47,599
Pension costs, defined contribution scheme	43,208	42,201
Redundancy costs	2,266	875
Share-based payment expenses	6,836	4,037
	645,644	611,187

The average number of persons employed by the Company (including Directors) during the period, analysed by category was as follows:

	52 weeks to 28 December 2024 No.	53 weeks to 30 December 2023 No.
Production	2,325	2,149
Administration and support	1,092	1,085
Sales	8,407	8,432
	11,824	11,666

9 Directors' remuneration

The directors' remuneration for the period is shown below.

Remuneration for the Company's directors is paid both by the Company and Howden Joinery Corporate Services Limited, a fellow group company. The amounts disclosed below reflect the proportion of the directors' remuneration paid by both companies which relates to qualifying services provided to this Company and its subsidiaries.

During the current year, the Company reviewed the allocation of directors' remuneration and identified that additional remuneration should have been disclosed in the prior year as it related to qualifying services provided to this Company and its subsidiaries. The prior year comparatives have therefore been restated, and the restatements are listed below:

-the total amount of remuneration has been increased from £4,439,000 to £4,960,000;
-the amount of remuneration in respect of the highest paid director has been increased from £1,130,000 to £1,156,000;
-the number of directors who received or were entitled to share awards under long term incentive scheme has been restated from 6 to 9;
-the number of directors who exercised share options has been restated from 4 to 6, and
-the number of directors accruing benefits under a defined benefit pension schemes has been restated from 2 to nil.

	31 December 2023 to 28 December 2024 £ 000	25 December 2022 to 30 December 2023 £ 000 (restated)
Remuneration	6,830	4,960
Contributions paid to money purchase schemes	121	55
	6,951	5,015

In addition to the amounts shown above, there were termination payments of £465,000 in 2023 (2024: £nil).

During the period the number of directors who were receiving benefits and share incentives was as follows:

	2024 No.	2023 No. (restated)
Received or were entitled to receive shares under long term incentive schemes	9	9
Exercised share options	7	6
Accruing benefits under money purchase pension scheme	5	4

9 Directors' remuneration (continued)

In respect of the highest paid Director:

	31 December 2023 to 28 December 2024 £ 000	25 December 2022 to 30 December 2023 £ 000 (restated)
Remuneration	1,668	1,156

During the current and prior period the highest paid director exercised share options and also received or was entitled to receive shares under a long term incentive scheme.

10 Auditor's remuneration

Fees paid to the Company's auditor for the audit of the Company's financial statements were £959,000 in both current and prior periods.

11 Income tax

Tax charged/(credited) in the income statement

	52 weeks to 28 December 2024 £ 000	53 weeks to 30 December 2023 £ 000
Current taxation		
UK corporation tax	63,899	70,891
UK corporation tax adjustment to prior periods	(9,675)	(6,119)
	54,224	64,772
Deferred taxation		
Arising from origination and reversal of temporary differences	19,269	7,861
Arising from changes in tax rates and laws	-	182
Arising from previously unrecognised tax loss, tax credit or temporary difference of prior periods	9,154	1,175
Total deferred taxation	28,423	9,218
Tax expense in the income statement	82,647	73,990

The tax on profit before tax for the period is lower than the standard rate of corporation tax in the UK (2023 - lower than the standard rate of corporation tax in the UK) of 25% (2023 - 23.5%).

The differences are reconciled below:

11 Income tax (continued)

	2024 £ 000	2023 £ 000
Profit before tax	343,912	387,704
Corporation tax at standard rate	85,978	91,111
Decrease in current tax from adjustment for prior periods	(521)	(4,945)
Increase/(decrease) from effect of capital allowances depreciation	-	-
Increase/(decrease) from effect of expenses not deductible in determining taxable profit (tax loss)	8,001	(4,602)
(Decrease)/increase from effect of exercise employee share options	(811)	201
Deferred tax expense relating to changes in tax rates or laws	-	225
Decrease from effect of Patent Box deduction	(10,000)	(8,000)
Total tax charge	82,647	73,990

Deferred tax assets and liabilities

Deferred tax movement during the period:

	At 31 December 2023 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 28 December 2024 £ 000
Share-based payments	1,263	(762)	59	560
Provisions	3,614	(415)	-	3,199
Leases	66	(35)	-	31
Accelerated tax depreciation	2,074	(27,211)	-	(25,137)
Net tax assets/(liabilities)	7,017	(28,423)	59	(21,347)

Deferred tax movement during the prior period:

	At 25 December 2022 £ 000	Recognised in income £ 000	Recognised in equity £ 000	At 30 December 2023 £ 000
Share-based payments	1,220	26	17	1,263
Provisions	3,182	432	-	3,614
Leases	106	(40)	-	66
Accelerated tax depreciation	11,710	(9,636)	-	2,074
Net tax assets/(liabilities)	16,218	(9,218)	17	7,017

12 Right of use assets

2024	Machinery £ 000	Property £ 000	Total £ 000
Additions	17,192	7	17,199
Depreciation charge for the period	19,239	2,633	21,872
Carrying amount at year end	50,564	3,466	54,030

2023	Machinery £ 000	Property £ 000	Total £ 000
Additions	25,029	1,300	26,329
Depreciation charge for the period	16,355	2,650	19,005
Carrying amount at year end	53,249	6,092	59,341

13 Property, plant and equipment

	Land and buildings £ 000	Furniture, fittings and equipment £ 000	Assets under construction £ 000	Other property, plant and equipment £ 000	Total £ 000
Cost or valuation					
At 31 December 2023	26,057	272,493	56,036	150,823	505,409
Additions	1,034	40,765	21,482	14,660	77,941
Disposals	(123)	(1,454)	-	(3,167)	(4,744)
Transfers	764	11,040	(26,797)	14,993	-
At 28 December 2024	27,732	322,844	50,721	177,309	578,606
Depreciation					
At 31 December 2023	1,194	138,628	-	61,216	201,038
Charge for the period	702	21,896	-	15,198	37,796
Eliminated on disposal	(3)	(1,312)	-	(3,044)	(4,359)
At 28 December 2024	1,893	159,212	-	73,370	234,475
Carrying amount					
At 28 December 2024	25,841	163,634	50,721	103,939	344,135
At 30 December 2023	24,863	133,865	56,036	89,607	304,371

13 Property, plant and equipment (continued)

Included within the net book value of land and buildings above is £25,841,698 (2023 - £24,863,239) in respect of freehold land and buildings.

14 Intangible assets

	Assets under construction £ 000	Software £ 000	Total £ 000
Cost or valuation			
At 31 December 2023	15,625	45,178	60,803
Additions	10,352	9,841	20,193
Disposals	-	(774)	(774)
Transfers	(10,783)	10,783	-
At 28 December 2024	15,194	65,028	80,222
Amortisation			
At 31 December 2023	-	29,717	29,717
Amortisation charge	-	5,784	5,784
Amortisation eliminated on disposals	-	(774)	(774)
At 28 December 2024	-	34,727	34,727
Carrying amount			
At 28 December 2024	15,194	30,301	45,495
At 30 December 2023	15,625	15,461	31,086

15 Investments

The Company directly holds one £1 ordinary share in two subsidiary companies. This holding represents 100% of the issued share capital and voting rights of both of the subsidiary companies.

Details of the subsidiaries as at 28 December 2024 are given below. The registered office for all subsidiaries is 105 Wigmore Street, London W1U 1QY.

Name of subsidiary	Principal activity	Country of incorporation	Holding	Proportion of ownership interest and voting rights held 2024	2023
Howden Joinery Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%
Howden Kitchens Properties Limited	Managing properties for fellow Group subsidiaries	England & Wales	Ordinary shares	100%	100%

16 Inventories

	28 December 2024 £ 000	30 December 2023 £ 000
Raw materials and consumables	22,147	23,270
Work in progress	9,366	9,471
Finished goods and goods for resale	343,813	331,670
	375,326	364,411

These numbers are after allowances of £42,170,894 (2023: £47,301,736) on the carrying amount of inventories.

17 Trade and other receivables

	28 December 2024 £ 000	30 December 2023 £ 000
Trade receivables	206,679	150,989
Amounts receivable from fellow Group companies	7,455	15,650
Prepayments	37,253	26,974
Other receivables	1,277	871
	252,664	194,484

18 Share capital

Allotted, called up and fully paid shares

	28 December 2024		30 December 2023	
	No. 000	£ 000	No. 000	£ 000
Ordinary shares of 1 each	100,000	100,000	100,000	100,000

19 Cash and cash equivalents

	28 December 2024 £ 000	30 December 2023 £ 000
Cash on hand	213	194
Cash at bank	1,847	94,161
Short-term deposits available on demand	326,032	170,000
	328,092	264,355

20 Share-based payments

The ultimate parent company, Howden Joinery Group Plc ("the Group") operates various share-based payment schemes for employees in its subsidiary companies, all of which relate to shares in the Group. There are no share-based payment schemes relating to the shares in the Company.
A charge of £6,835,080 (2023: £4,036,750) is recognised in respect of share-based payments during the period.
The various Group schemes are described below.

20 Share-based payments (continued)

Details of all plans

Scheme description

SHARE INCENTIVE PLAN ("SIP")

This is an 'all-employee' share plan. Shares shown below as "SIP (i)" represent free shares. Shares shown as "SIP (ii)" are matching shares which are awarded to employees who choose to take part in the Group's buy as you earn arrangement, which allows employees to purchase Group shares from pre-tax salary. Both of these share awards have no performance conditions other than continued employment and have a three-year vesting period.

HOWDEN JOINERY GROUP LONG-TERM INCENTIVE PLAN ('LTIP')

This is a discretionary employee share plan under which the Company may grant different types of award including options, conditional awards, and restricted share awards. With the exception of (iv) below, neither dividends nor dividend equivalents are payable during the vesting period. The different types of awards are as follows:
(i) Conditional Share Awards, which have a vesting period of three years, and no performance conditions other than continued employment.
(ii) Market value options, which have a vesting period of three years, and performance conditions based on growth in Group profits over the three financial years starting with the year during which they are awarded. The vesting conditions provide for a minimum level of performance, below which no shares will be awarded, as well as a maximum level of performance which must be achieved in order for the awards to vest fully.
(iii) Performance Share Plan awards, which have a vesting period of three years, and performance conditions based on the three financial years starting with the year during which they are awarded.
The vesting conditions for some of the awards depend solely on growth in Group profit, in the same way as described for the market value options above.
For some other awards, the vesting conditions depend partly on growth in profit and partly on growth in total shareholder returns relative to comparator companies ("TSR").
For some other awards, the vesting conditions depend on a mixture of growth in profit, TSR, return on capital employed, and environmental measures based on carbon emissions reduction targets.
Vesting under the various measures above is determined on a straight-line basis between threshold and maximum payout. Performance below threshold will result in no awards being granted.
(iv) Restricted Share Awards, where the participant receives beneficial entitlement to shares upon grant of the award. The legal interest, however, is not transferred to the participant until the forfeiture provisions and restrictions applicable to the awards cease to apply. The shares are not subject to any performance conditions other than continued employment. Dividends are payable during the vesting period.

21 Pension and other schemes

Defined contribution pension scheme

The Company operates a defined contribution pension scheme. The pension cost charge for the period represents contributions payable by the Company to the scheme and amounted to £43,207,630 (2023 - £42,200,635).

21 Pension and other schemes (continued)

Defined benefit pension schemes

Plans that share risks between entities under common control

The Howden Joinery Group operates a funded pension plan which provides benefits based on the career average pensionable pay of participating employees. This plan was closed to new entrants from April 2013.

The plan shares risks between wholly-owned Group subsidiaries which are each under the control of the ultimate parent company. These risks are shared between this Company and two other wholly-owned Group subsidiaries.

There is no contractual agreement or stated policy for charging the net defined benefit cost between the participating subsidiaries. Howden Joinery Corporate Services Limited is the sponsoring employer, so the entire net defined benefit pension cost, and the entire pension deficit, appears in that company's accounts.

22 Other provisions

	Warranties £ 000	Properties £ 000	Total £ 000
At 31 December 2023	8,016	3,777	11,793
Additional provisions	7,543	777	8,320
Provisions used	(6,567)	(646)	(7,213)
Unused provision reversed	-	(1,116)	(1,116)
At 28 December 2024	8,992	2,792	11,784
Provisions	2,547	2,792	5,339
Current liabilities	6,445	-	6,445

22 Other provisions (continued)

The property provision covers obligations to make dilapidation payments to landlords of leased properties. Following the guidance in the IFRSs governing leases and provisions, our assessment is that, in general, the likelihood of a cash outflow for dilapidations at the time of signing a lease is remote, and therefore it would be unusual for us to recognise any costs relating to dilapidations at that time.

In these cases, the event which changes our assessment of the likelihood of a cash outflow for dilapidations from being remote to being probable, and which therefore triggers our recognition of a provision for that probable outflow, typically occurs either (i) if the landlord serves an interim schedule of dilapidations part-way through a lease, or (ii) as we draw towards the end of a lease and we can assess the condition of the leased property and the likelihood of dilapidations being payable.

The timing of any outflows from the provision is variable, and is dependent on the timing of dilapidations assessments and works. Although circumstances will differ from property to property, a typical pattern would be that the outflow would occur within 1-3 years of the provision being made. The amounts provided are specific to each property and are based on our best estimate of the cost of performing any required works or, in cases where we will not be directly contracting for the works to be done, our best estimate of the outflow required to settle any claim from the landlord. Where the amounts involved are significant, we would typically take advice on the likely costs from third-party property maintenance specialists.

The warranty provision relates to the estimated costs of product warranties. As products are sold, the Group makes provision for claims under warranties. As claims are made, the Group utilises the provision and then uses the historical data on the rate and amount of claims to periodically revise our expectations of the amount of future warranty outflows and therefore the rate at which it is appropriate to provide for warranty costs on each sale in the future.

Utilisation of the provision depends on the timing and amount of any warranty claims. As such, it can be variable from year to year.

23 Trade and other payables

	28 December 2024 £ 000	30 December 2023 £ 000
Current liabilities		
Trade payables	174,726	168,675
Accrued expenses	87,695	87,670
Amounts due to related parties	406,928	311,347
Social security and other taxes	80,511	73,991
Other payables	35,896	33,812
	785,756	675,495

24 Dividends

	28 December 2024 £ 000	30 December 2023 £ 000
Final dividend of £1,920.00 (2023 - £2,000.00) per ordinary share	192,000	200,000

25 Commitments

Capital commitments

The total amount contracted for but not provided in the financial statements was £16,708,509 (2023 - £15,193,710).

26 Leases

Lease liabilities maturity analysis

A maturity analysis of lease liabilities based on undiscounted gross cash flow is reported in the table below:

	28 December 2024 £ 000	30 December 2023 £ 000
Less than one year	20,691	20,741
One to five years	36,546	39,460
Over five years	4,477	5,654
Total lease liabilities (undiscounted)	61,714	65,855

Total cash outflows related to leases

Total cash outflows related to leases are presented in the table below:

Payment	28 December 2024 £ 000	30 December 2023 £ 000
Capital repayments	19,872	18,001
Interest	2,545	1,718
Total cash outflow	22,417	19,719

27 Parent and ultimate parent undertaking

The company's immediate parent is Howden Joinery Holdings Limited. The ultimate parent, who produces consolidated financial statements which include this company, is Howden Joinery Group Plc.

The most senior parent entity producing publicly available financial statements, and the only other entity who produces consolidated financial statements which include this company is Howden Joinery Group Plc. These financial statements are available upon request from http://www.howdenjoinerygroupplc.com/investors/financial-reporting/reports/index.asp .

The ultimate controlling party is Howden Joinery Group Plc.